

HINK DEBT FUNDS

are boring? Well, in the case of target maturity funds (TMFs), boring is good. TMFs are passive investment products that take the guesswork out

of interest rates as their maturity date is aligned with that of the bonds in their portfolio. "This 'roll-down' strategy means short-term mark-to-market fluctuations from rate changes are gradually neutralised as the bonds converge to par at maturity," says Sirshendu Basu, Head-Products, Bandhan AMC.

Unlike traditional debt funds, which are actively managed and so exposed to duration risk based on interest rate movements, TMFs offer predictability of returns if held till maturity. Duration risk, also called interest rate risk, is movement in the value of the bond in response to changes in interest rates (a rise in rates reduces bond prices and vice versa). The icing on the cake is a lower expense ratio considering these funds are managed passively. Investors get the expected amount if the company or the government that has issued the bond doesn't default.

"However, TMFs lose their edge when investors exit early if rate hikes happen just before maturity, or when markets rally, because unlike active funds, they don't capture big mark-to-market gains," says Manish Kothari, CEO and Co-Founder, ZFunds, a platform for investing in mutual funds. The key question is: How can an investor make the best use of TMFs?

CREDIT CHECK

Most TMFs follow an index. So, investors must look at the index composition and credit ratings of securities—such as AAA-rated PSUs or high-quality corporates—in the benchmark. "At present, TMFs are typically restricted to AAA and above. Thus, credit risk is marginal. In case the rating of a particular paper is cut, the fund is supposed to exit it within a stipulated price," says Kaustubh Gupta, Co-Head, Fixed Income, Aditya Birla Sun Life AMC.

One should watch out for bonds of highly leveraged companies. "In today's scenario, portfolios that have microfinance institution/non-banking financial company exposure would be the ones to be wary of. Government and state development loans are relatively safer," says Vivek Banka, Founder, GoalTeller, a Sebi-registered investment advisory firm.

For fund houses, building a robust portfolio requires a systematic approach to understand how interest rates move and impact investments. Murthy Nagarajan, Head-Fixed Income, Tata Mutual Fund, says they factor in different variables affecting interest rates. These are weighted to arrive at a composite score based on which the duration of the portfolios is created. The fund houses also have their own checks and balances. For example, Tata Mutual Fund has built a framework to evaluate companies, using external ratings only as a reference. It also applies a corporate governance filter. Only companies that meet these standards qualify.

One of the best features of TMFs is that they give investors

THE TMF ADVANTAGE

A TMF holds bonds until they mature. At maturity, a bond's price returns to its face value, regardless of its market price in the interim. MTM swings are irrelevant. Your final return is determined by the yield-to-maturity when you invest, not daily NAV movements

A Three-Year Investment

YOU INVEST

₹1,00,000

with a YTM of 8.5%

THE JOURNEY

The price might drop to **₹95,000** one year and rise to

₹1,05,000

the next year due to dip in interest rates

THE END

After three years, when the fund matures, you receive

₹1,27,628

Your final return is **8.5%**, as promised

